

organs that are found in the bodies of modern plants and animals. The advantage here, of course, is the ability to evolve and fill every ecological niche. In return for complexity, differentiated cells must accept risk. Very few species of large animals exist for more than 10 million years, while the conservative amoeba is unchanging and therefore immortal.

Most publicly held corporations fit this fourth, dynamic class. Our hamburger joint is now the Fast Food Division of HHH Enterprises, complete with all the possibilities of growth, development, and success or failure inherent in a complex organism.

The four strategies, which work so well in nature, have proved a handy way for our analysts to classify corporate growth strategies. It helps them judge companies' progress and remaining potential. Corporations, too, are living organisms.

ply a marketing technique, the ability to sell a product or service a little bit better than its rivals. What I don't want are me-too companies that rank fifth or sixth in their industry, because their profit margins will rarely be as good as those of the industry leaders.

Several Baskets

To sum up, I believe in investing in quality small companies, seasoned rather than nearly new, with financial strength, dominance in their market segment, entrepreneurial management, and under-